UNIT 22 CORPORATE FINANCE

Structure

22.0 OBJECTIVES

After going through this unit, you will be able to:

- explain the concept of corporate finance;
- examine the concept of capital structure and its theories;
- explain the techniques of capital budgeting;
- list and describe the sources of working capital and its management; and
- describe the theories of dividend policy and the factors affecting dividend decision.

22.1 INTRODUCTION

When we think of Corporate Finance, the first thing that comes to our mind is **managing money** in a business, from raising funds to investing them wisely. Corporate finance is the area of finance that deals with the sources of funding, and the capital structure of corporations, the actions that managers take to increase the value of the firm to the shareholders, and the tools and analysis used to allocate financial resources. The primary goal of corporate finance is to maximise or increase shareholder value.

Correspondingly, corporate finance comprises two main sub-disciplines. Capital budgeting is concerned with the setting of criteria about which value-adding projects should receive investment funding, and whether to finance that investment with equity or debt capital. Working capital management is the management of the company's monetary funds that deal with the short-term operating balance of current assets and current liabilities; the focus here is on managing cash, inventories, and short-term borrowing and lending (such as the terms of credit extended to customers).

In this unit, we will study the diverse sources of finance, the Capital structure of a company, different techniques of capital budgeting, working capital management, and dividend policy.

22.2 SOURCES OF FINANCE

Finance is especially important for every business, serving as a fundamental catalyst for its optimal functioning. The adequacy of financial resources is paramount, as it directly impacts the efficiency and effectiveness of business operations. In this context, the financial needs of a business can be categorised into 2 distinct classes:

1) Short-term financial requirements.

2) Long-term financial requirements.

Short-term financial requirements of a business necessitate essential short-term funds, typically covering a period of up to twelve months. These funds are procured from avenues capable of promptly extending financial aid for a brief period and at a reasonable cost. Frequently, securing these funds is facilitated through short-term loans or the process of bill discounting offered by commercial banks.

Long-term financial needs of a business that last for more than a year are met by long-term funds. These funds can be divided into several types:

i) Intermediate or medium-term funds

ii) Long-term funds.

The mentioned group refers to money needed for more than 5 years. Businesses get this money from places that can give them financial help for a long time. These places might include selling shares, debentures, and getting loans from special money-related organisations. It is worth noting that regular banks have started to offer medium-term and long-term funding options to businesses. They might do this alone or with other special financial organisations like the Industrial Finance Corporation of India and the Industrial Credit and Investment Corporation of India. This is done to meet the different money needs of businesses.

Classification of Sources of Finance

The sources of finance can be classified into two categories: internal sources and external sources. External sources can be (i) **loans** or (ii) **equities and bonds or debentures**. Equities are shares, and give a share of ownership to the holder while bonds or debentures promise a steady stream of payments to the holder without conferring ownership rights. Loans are borrowed external funds. Internal sources are sources of funds that are from within the firm. The two principal internal sources of funds are depreciation and retained earnings. We elaborate on this below:

External Sources of Funds

1) Issue of Shares

Share represents ownership and voting rights in a company. The holder of a share is termed a shareholder, receiving dividends from the company as a return for their investments. However, dividend payments are not obligatory, and the company's Board of Directors has the authority to propose dividends. While the Board's recommendation can be altered by shareholders, it cannot be increased beyond the initial proposal.

Kinds of Shares

Publicly traded companies in India can issue two types of shares:

a) **Preference Shares**

Preference shares offer specific preferential rights over other share classes, including i) Guaranteed fixed dividends, which can be a fixed amount or rate. ii) Priority in capital repayment during company liquidation, preceding other share classes. Preference shares might be cumulative or non-cumulative, participating, or non-participating, and redeemable or irredeemable. Cumulative preference shares accumulate unpaid dividends until cleared. Non-cumulative shares lose dividend rights if there is no profit. Participating shares share surplus profits after fixed dividend payments to equity shareholders. Non-participating shares lack this privilege. Redeemable preference shares can be reclaimed during the company's lifespan, while irredeemable ones can only be redeemed during liquidation.

b) **Equity Shares**

These shares lack preferential rights, ranking below preference shares for dividend and capital repayment during liquidation. Dividend rates are variable, depending on profits and directors' intent. Equity shareholders have voting power at company general meetings and are drawn to the potential for returns despite the risk.

2) Issue of Debenture

A debenture may be a record issued by a company as proof of an obligation due from the company with or without a charge on the assets of the company. It could be a certificate issued by a company beneath its seal recognising an obligation due by it to its holders.

Kinds of Debentures

Debentures represent a form of debt for a company, favoured for their avoidance of equity dilution, serving as a loan mechanism for a company's long-term profitability and expansion. Familiarity with the several types of debentures in the market is crucial when considering which to invest in.

a) **Convertible Debentures:** Among the diverse debenture types, convertible debentures stand out with their unique feature – the ability to transform into shares or stocks at a designated point in time or upon notification by the company. Despite offering lower interest rates compared to stocks, these debentures prove highly advantageous.

b) **Partially Convertible Debentures:** Debentures that can be converted into shares up to a specific limit or percentage are categorised as partially convertible debentures. This hybrid form leaves a portion as debentures even after partial conversion, while the rest becomes part of the company's shares.

c) **Non-Convertible Debentures:** Representing the fundamental type, non-convertible debentures lack the option for conversion into stocks throughout their existence after issuance.

d) **Registered Debentures:** This type involves the transfer of debentures with well-documented and secure records, ensuring a tamper-proof transaction. Registered debentures are considered safer due to the reduced risk of fraud, in contrast to the bearer debentures discussed below.

e) **Bearer Debentures:** Unregistered and transferable without mandatory documentation, bearer debentures can be delivered after purchase without the need for proof or records. This type is more susceptible to tax evasion and fraud, lacking a third-party involvement in the transaction.

f) **Secured Debentures:** Resembling an alternative to loans, secured debentures require collateral for fund generation. In the event of the firm settling its debts upon closure, secured debenture holders receive priority payment.

g) **Unsecured Debentures:** Requiring no collateral, unsecured debentures are less favoured during payments compared to secured debentures.

h) **Redeemable Debentures:** Purchased for a predetermined period, redeemable debentures are repaid by the end of this specified period.

i) **Irredeemable Debentures:** Also known as perpetual debentures, this type lacks a fixed redemption period for the invested amount.

Internal Sources of Funds

As its name suggests, these are funds generated internally by the company. The two most critical sources of inside financing are depreciation and retained earnings. These are:

a) **Depreciation:** Depreciation is a source of internal finance through its non-cash item in books, but it is a recognition of the value of the asset which will reduce each year and attempting to identify the amount of cash to set aside when the asset is no longer in use to us. It is also being considered as an expense to reduce our taxable income.

b) **Retained Earnings:** It is that part of the profit which is not distributed among shareholders as a dividend. These earnings are kept by the company itself for the future requirement of funds. It is additionally known as 'Inside Financing' or 'Ploughing back of Profits.'

c) **Loan Financing:** Loan financing refers to the acquisition of funds by individuals, businesses, or governments through borrowing from a lender. In this financial arrangement, a borrower receives a sum of money from the lender with the commitment to repay the amount, usually with interest, over a specified period. Loan financing can serve various purposes, including personal expenses, business investments, or major capital projects. Lenders may include banks, financial institutions, or private entities, and the terms of the loan agreement typically outline the interest rate, repayment schedule, and any collateral requirements.

Check Your Progress 1

1) List several types of shares.

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2) Explain depreciation as a source of finance.

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3) Differentiate between secured & unsecured debentures.

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22.3 CAPITAL STRUCTURE

As discussed in the previous section, there are different sources of finance which can be used to finance a business. Capital structure is nothing but the composition of capital. Capital Structure refers to the composition and proportion of various sources of funds that a company employs to finance its operations, investments, and other financial activities. It represents the way a company combines equity (ownership capital) and debt (borrowed capital) to support its business activities. The capital structure decision involves determining the mix of equity and debt that best aligns with the company's financial goals, risk tolerance, and overall strategy. In this section, we will study the factors that influence the capital structure and what are the theories that have been developed to understand the capital structure.

22.3.1 Components of Capital Structure

Components of a capital fund of a company may be classified based on their sources. Hence, they can be majorly divided into two categories:

a) **Owner's capital:** Owner's capital, also known as owner's equity or shareholder's equity, refers to the portion of a company's assets that belongs to its owners or shareholders. It represents the residual interest in the company's assets after deducting liabilities. In other words, the owner's capital is the net value of a company's assets that remains after satisfying all its debts and obligations. The owner's capital consists of Equity Shares, Preference Shares and Retained Earnings.

b) **Borrowed Capital:** Borrowed capital, also known as debt capital, refers to funds that a company raises by borrowing money from external sources, such as financial institutions, investors, or bondholders. Borrowed capital is a debt obligation as it creates a legal obligation for the company to repay the borrowed funds along with interest within a specified period. The borrowed capital consists of debentures, term loans, lease financing and short-term borrowings.

22.3.2 Factors Influencing Capital Structure

a) **Business Risk:** The nature and level of a company's business risk can influence its capital structure. Companies operating in highly volatile or cyclical industries may opt for lower debt levels to avoid the added financial risk associated with interest payments during economic downturns.

b) **Tax Considerations:** Interest payments on debt are often tax-deductible, making debt financing a more tax-efficient option than equity financing. Companies in higher tax brackets may be inclined to use debt to take advantage of tax benefits.

c) **Cost of Capital:** Companies strive to minimise their overall cost of capital, which is the weighted average cost of debt and equity. Finding the optimal mix that minimises the cost of capital is a key consideration in determining the capital structure.

d) **Market Conditions:** Economic and market conditions play a role in capital structure decisions. For instance, during periods of economic stability, companies may be more willing to take on debt at favourable interest rates. Conversely, during economic downturns, access to debt financing may be more challenging, influencing a shift toward equity financing.

e) **Company Size and Life Cycle:** Smaller or newer companies may find it more challenging to access debt markets and may rely more on equity financing. As a company grows and establishes a record of accomplishment, it may have more options for debt financing.

f) **Flexibility and Control:** Equity financing gives shareholders ownership of the company, but it also dilutes existing ownership. Some companies may prefer debt financing to maintain control and avoid dilution of ownership. Debt also provides more flexibility in adjusting capital structure in response to changing conditions.

g) **Asset Structure:** The type of assets a company owns can impact its capital structure. Capital-intensive industries (e.g., manufacturing) may use more debt to finance their assets, while service-oriented industries may have lower debt levels.

h) **Lender and Investor Preferences:** The preferences and requirements of lenders and investors in the capital markets can influence a company's choice of capital structure. Several types of lenders and investors may have varying expectations regarding risk, return, and the mix of debt and equity.

i) **Regulatory Environment:** Regulatory constraints, including debt-to-equity ratios and other financial regulations, can influence a company's capital structure decisions.

j) **Market Perception:** The market's perception of a company's financial health and risk profile can impact its ability to raise capital and the cost of that capital.

Check Your Progress 2

1) Differentiate between owner's capital and borrowed capital.

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2) Explain the factors affecting capital structure.

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22.4 WORKING CAPITAL MANAGEMENT

The concept of working capital is fundamental in financial management and represents the company's ability to meet its short-term financial obligations. It is calculated by subtracting current liabilities from current assets. Working capital is essential for the day-to-day operations of a business and maintaining a smooth cash flow.

There are two primary forms of working capital:

I) Gross Working Capital: Gross working capital refers to the total current assets of a company. These are the assets that are either in cash or expected to be converted into cash within the operating cycle, typically one year. Gross working capital includes the following components:

1) Cash and Cash Equivalents: This includes currency, bank balances, and other highly liquid assets.

2) Accounts Receivable: The money owed to the company by its customers for goods or services sold on credit.

3) Inventory: The stock of goods a company holds for sale, production, or consumption.

4) Short-term Investments: Investments made by the company in highly liquid financial instruments with maturities of up to one year.

II) Net Working Capital: Net working capital is derived by deducting current liabilities from current assets. It represents the excess of current assets over current liabilities and indicates the company's ability to cover its short-term debts.

22.4.1 Importance of Working Capital

Gross Working Capital:

a) Gross working capital is significant as it provides an overview of a company's short-term resource base.

b) It helps management understand the scale of current assets in comparison to current liabilities.

c) A high gross working capital might indicate that the company is carrying excessive levels of current assets, which can lead to increased carrying costs and inefficiencies.

d) Conversely, a low gross working capital might imply inadequate liquidity to fund short-term obligations.

Net Working Capital:

a) Net working capital is a more focused metric as it reflects the excess or deficit of current assets after settling current liabilities.

b) A positive net working capital is preferred as it demonstrates that a company has enough liquid resources to meet its short-term obligations.

c) It can also signify good financial health and efficient working capital management.

d) However, negative net working capital is not necessarily always a bad sign. Some industries, like retail, may have negative net working capital due to the quick turnover of inventory and immediate collection of cash from customers. It is crucial to assess negative net working capital in the context of the company's business model and industry norms.

22.4.2 Factors Determining Working Capital

Working capital, the difference between a company's current assets and current liabilities, is a crucial aspect of financial management. Several factors influence the working capital requirements of a business, and understanding these factors is essential for effective working capital management. Here are the key factors that determine working capital:

1) **Nature of Business:** The type of industry and the nature of the business significantly impact the working capital needs. For instance, manufacturing companies often require higher levels of working capital due to the need to maintain raw materials, work-in-progress, and finished goods inventory. On the other hand, service-based businesses may have lower working capital requirements since they typically have minimal inventory and faster cash conversion cycles.

2) **Business Cycle and Seasonality:** Companies experience fluctuations in sales and production throughout their business cycles. During peak seasons or periods of high demand, businesses may require additional working capital to finance increased inventory and accounts receivable. Conversely, during low-demand periods, working capital needs may decrease.

3) **Sales Volume and Growth Rate:** Companies with higher sales volume or experiencing rapid growth may need more working capital to support increased operations, expand inventory levels, and extend credit terms to customers.

4) **Credit Policy:** The credit policy adopted by a company, such as the length of credit given to customers, significantly impacts accounts receivable. A lenient credit policy may lead to higher accounts receivable and increased working capital needs, while a strict credit policy may affect sales but reduce working capital requirements.

5) **Supplier Payment Terms:** The terms and conditions negotiated with suppliers influence accounts payable. Longer payment terms can help conserve cash and reduce working capital requirements, but it may also affect supplier relationships.

6) **Inventory Management**: The efficiency of inventory management affects working capital. Companies with streamlined inventory control systems and faster inventory turnover require lower levels of working capital.

7) **Seasonal Inventory Needs**: Businesses with seasonal inventory requirements may need to maintain higher working capital during peak seasons to meet customer demands.

8) **Operating Efficiency**: Efficient operational practices can help optimise working capital. Streamlined processes, reduced lead times, and effective use of technology can enhance cash flow and reduce working capital needs.

9) **Economic Conditions:** The overall economic environment, including inflation, interest rates, and credit availability, can impact working capital requirements. Economic downturns may increase the need for working capital to weather challenging times.

22.4.3 Methods of Making Working Capital Forecast

Making accurate working capital forecasts is essential for effective financial planning and management. Various methods can be used to make these forecasts, depending on the availability of data, the complexity of the business, and the desired level of precision. Some common methods of making working capital forecasts include: